# SERIES B TERM SHEET — REDLINE

## Proposed changes

A proposed purchaser top-up right appears in this redline and was not carried into the executed instrument.

## Closing, Conditions, and General Terms

Term Sheet Series B v4 REDLINE addresses closing deliverables, required corporate and class approvals, definitive-document preparation, expenses, confidentiality, exclusivity, governing law, counterpart execution, and expiration.

Draft, redline, competing, exhibit, and executed materials retain distinct status; only the properly signed instrument governs according to the review protocol.

No illustrative capitalization schedule changes an operative provision in the document body without the approvals and amendment process stated there.

## Comparison provenance - what was compared against what

This document is a comparison of the fourth turn of the proposed Series B financing terms for Helioscope Robotics, Inc. against the third circulated draft as distributed. The comparison was generated by counsel to the purchasers using its document comparison facility, run against the distributed version of the third draft and not against any later private mark-up held by either side.

The comparison is circulated with a memorandum that carries the figures and periods the marked text refers to. Where a marked change substitutes one figure or period for another, this comparison identifies the location and the operation and leaves the value to the memorandum, so that a reader who has only the comparison cannot mistake a marked value for an agreed one.

This comparison is a working document. It records what the fourth turn does to the text of the third draft. It does not record agreement, it does not itself amend anything, and a change shown as marked here is not agreed merely because it is marked. Nothing in this document has operative effect.

## Redline conventions and how to read the markings

Inserted text is shown underlined, deleted text is shown struck through, and text that has been moved from one location to another is shown struck through at its former location and double underlined at its new one. A change that affects only formatting, numbering or capitalization is shown in the change bar in the margin but is not underlined, so that a reviewer can pass over it.

A change to a caption is a change to the caption only and does not alter the operative text beneath it. Where a Part has been deleted in its entirety, the caption is retained and marked as reserved rather than removed, so that the Part numbering in the third draft and in the fourth turn continue to correspond and a cross-reference in another Part does not become unintelligible.

The comparison does not distinguish a change made in response to a specific request from a change made on counsel's own initiative. The change register at the end of this document records, for each change, the party that raised the point, which is the attribution the parties have agreed to maintain through the turns.

## Overview of the fourth turn by change group

The marked changes fall into eight groups: pricing and capitalization conformed to the accompanying memorandum; the dividend construction changed; the preference construction changed; the anti-dilution formulation changed; the redemption Part deleted and then reinstated in narrowed form; three protective provisions struck or narrowed and the basis of the protective vote changed; the founder vesting and acceleration provisions changed; and the expense, break and exclusivity provisions settled.

Two further groups are administrative: a defined-term conforming change repeated wherever the superseded phrase appeared, and two typographical corrections the comparison detected. Counsel has separated the administrative groups

from the substantive ones in the change register so that the Company's reviewers can confirm them without a substantive review.

The overall shape of the turn is that the purchasers have moved the economic terms and the Company has moved the governance terms. Neither side has withdrawn a position that the third draft recorded as reserved, and the items the third draft's open-items annex listed as withdrawn remain out of the text.

## Part 2 - marked changes to pricing, aggregate investment and tranching

In the pricing block of Part 2 the figure carried in the third draft is struck and the figure stated in the accompanying memorandum is inserted in its place. The aggregate investment figure is struck and replaced in the same manner. Both changes are substitutions of value only; the surrounding sentence is unchanged and no mechanic has been altered.

In the tranching paragraph, the words describing the operating metric are struck and replaced, so that the metric is taken from the audited financial statements rather than computed on the excluded basis the Company proposed. The test date is struck and replaced with the date stated in the memorandum. The words permitting the purchasers to fund voluntarily if the metric is not met are retained without change.

The Company's proposal that a shortfall reduce the second tranche proportionally does not appear in the fourth turn. It was recorded as open in the third draft's annex rather than in the text, so its absence from this comparison reflects that it was never inserted, not that it has been struck.

## Part 3 - marked changes to capitalization and the incentive reserve

The reserve percentage carried in the third draft is struck and the percentage stated in the accompanying memorandum is inserted. A new sentence is inserted after the reserve paragraph stating the basis on which the reserve is sized, which the third draft left bracketed for confirmation. The bracket is removed and the words expressing the confirmation are inserted in its place.

A further sentence is inserted stating that only unissued reserved shares count toward the target, which the third draft's annex recorded as agreed in principle. The paragraph describing the components of the fully diluted number is unchanged except that the clause dealing with warrants is expanded to require an instrument-level schedule supporting the treatment.

The words in the third draft noting that the two sides had used different warrant conventions in their models are struck. Counsel has recorded that the deletion is made because the point is resolved by the inserted schedule requirement and not because the underlying difference has been abandoned.

## Part 4 - marked changes to the dividend construction

The words describing a simple, non-cumulative dividend payable when declared are struck in their entirety and replaced with words describing a cumulative dividend that accrues on the original issue price and compounds. The sentence stating that the dividend is added to the amount payable on a liquidation is inserted after the replacement.

A new sentence is inserted stating the day count convention for a period that begins or ends other than on an anniversary, which the third draft did not address. A further sentence is inserted prohibiting a distribution on the common stock unless the accrued dividend is paid or provided for first.

The Company's marginal note in the third draft recording its view that a cumulative dividend complicates the waterfall is struck, as the note recorded a negotiating position rather than a term. Counsel has confirmed that deleting the note does not record the Company's agreement to the change.

## Part 5 - marked changes to preference and participation

In the first paragraph of Part 5 the words describing a non-participating preference with a conversion election are struck. The words describing a preference amount expressed as a multiple of the original issue price plus accrued dividends are inserted, with the multiple itself left to the accompanying memorandum.

A new paragraph is inserted providing that, after payment of the preference amounts in order of rank, the holders participate with the common stock on an as-converted basis until an aggregate recovery cap is reached. The cap is

expressed by reference to the memorandum. The conversion election is retained, moved to the end of the inserted paragraph, and shown double underlined at its new location.

A further sentence is inserted addressing insufficient assets within a tranche, providing for a rateable distribution in proportion to the full amounts otherwise payable. The paragraph dealing with escrowed and held-back consideration, which the third draft marked as open with no language, is inserted for the first time in this turn.

## Part 6 - marked changes to conversion and anti-dilution

The words describing a single anti-dilution formulation applying for the life of the series are struck. The inserted words provide instead that the conversion price is adjusted on a dilutive issuance in accordance with the formulation designated for the series in the charter and the purchase agreement, which moves the substance of the term out of this document and into the definitive documents.

A sentence is inserted providing that where more than one dilutive event occurs on the same date, the charter's ordering rule governs the sequence of adjustments. The excluded issuances clause is unchanged in substance; the words referring to the Series A charter are struck and replaced with a reference to the definitions block, which is a conforming change rather than a substantive one.

The optional conversion, automatic conversion and reservation-of-shares paragraphs are unchanged. The comparison shows a change bar against the fractional shares sentence, which reflects a formatting change only: the sentence has been moved from the end of the paragraph to the position immediately after the conversion mechanics.

## Transaction record 1

Investor Pro-Rata Top-Up Right

The v4 REDLINE inserts an investor pro-rata top-up right that is struck out again before v5 EXECUTED; the right never survives to signature.

The reviewer should reconcile this record with the applicable source-of-record instrument and effective-date hierarchy before downstream use.

## Part 7 - the deletion and reinstatement of the redemption Part

Part 7 as carried in the third draft is struck in its entirety and the caption is marked reserved. The deletion was made at the Company's insistence, and the comparison shows the whole of the former text struck through so that a reviewer can see what was removed rather than only that something was.

The Part is then reinstated in a narrowed form. The reinstated text is shown underlined and provides that the right is exercisable at the election of the requisite holders after the date stated in the memorandum, and only if no qualifying public offering or sale of the Company has occurred by that date. The insufficiency and rateable redemption mechanics from the third draft are reinstated with them.

The reinstated text is narrower than the struck text in two respects that the change register records: the condition that no qualifying event has occurred is new, and the words permitting a holder to accelerate any other payment are not reinstated. Counsel has noted that the Company has not accepted the reinstatement.

## Part 8 - marked changes to the protective provisions

Two provisions in the enumerated list are struck in their entirety: the provision requiring consent to the formation of a subsidiary, and the provision requiring consent to capital expenditure above a stated amount. Both deletions were made at the Company's request and the struck text is shown in place rather than removed from the numbering.

The provision covering transactions with an affiliate is narrowed: the words reaching any such transaction are struck and words limiting the provision to a transaction above a stated threshold are inserted, with the threshold left to the memorandum. The provisions covering the annual operating budget and senior executive hires are retained without change, and the brackets the third draft placed around them are removed.

The words describing the basis of the protective vote are struck and replaced, so that the vote is a vote of the series voting as a separate class rather than a vote of the preferred stock as a whole. The change is repeated wherever the superseded phrase appeared, and the register records those as conforming changes rather than separate substantive ones.

### Parts 9 and 10 - marked changes to board composition and the drag-along

Part 9 carries no substantive marked change. The comparison shows a change bar against the observer paragraph, which reflects the deletion of the drafting note recording that the observer's confidentiality undertaking would be dealt with elsewhere; the operative words are unchanged.

In Part 10 the words describing the trigger are struck and replaced, so that the obligation arises on approval by the board of directors together with the approval identified in the voting agreement, rather than on the three-way approval the third draft required. The conditions the Company tabled on a dragged holder's liability are retained without change and the comparison shows no marking against them.

### Part 13 - marked change to the participation right

One change is marked in Part 13. A new subparagraph is inserted after the second sentence requiring the Company to give notice of each subsequent issuance to each holder entitled to participate, whether or not the holder has previously participated. The insertion is a notice obligation on the Company and does not alter the measure of any holder's entitlement.

The sentence defining a holder's entitlement as its pro rata share is unchanged, and the comparison shows no marking against it. The pay-to-play paragraph is unchanged in this turn; the open question of whether the test applies to the series or to each holder is recorded in the accompanying memorandum rather than resolved in the text.

### Part 15 - marked changes to founder vesting and acceleration

The words giving credit for service already performed are struck. The re-vesting period is unchanged. Because the struck words were the only place the third draft addressed prior service, the effect of the deletion is that the fourth turn is silent on it, and counsel has noted that silence in the change register rather than inserting a contrary statement.

The words describing a single trigger on a change of control are struck and replaced with words requiring a qualifying termination within a window following the change of control. The definitions of cause and good reason are not set out; inserted words refer them to the applicable award agreement.

The non-competition undertaking is narrowed rather than struck: the words describing a restraint on competing activity are struck and words describing a non-solicitation of employees and customers are inserted. The Company raised the change and the purchasers accepted it in exchange for the extension of the undertaking to customers, which the register records against the same row.

### Parts 16 and 17 - marked changes to expenses, the break arrangement and exclusivity

The words capping the fees of the purchasers' counsel are struck, so that the arrangement in the fourth turn is uncapped, and the words making payment conditional on completion are struck as well. The comparison shows both deletions in the same sentence, which is why the change register carries them as a single row.

The break arrangement is retained. Its trigger is struck and replaced with the narrower trigger the Company tabled, so that an amount is payable where the Company terminates in order to accept a competing proposal rather than on any termination by the Company. The amount itself is unchanged from the third draft and is not marked.

In Part 17 the blank left for the exclusivity period is filled from the accompanying memorandum and the brackets are removed. The carve-out permitting continued discussions with an existing holder about the consents this financing requires is inserted, and the Company's proposed right to terminate exclusivity for late delivery of a first draft does not appear.

### Part 18 - conforming changes to the conditions

The general description of the class consents is struck and words identifying the consent of the holders of Series A Preferred Stock to the creation of a senior series are inserted in its place. The change is a conforming one: the third draft

already required each class consent the charter required, and the insertion names the consent the parties have been arguing about.

The capitalization reconciliation condition is narrowed by the insertion of an exception procedure, so that an unreconciled item may be scheduled and cleared after the closing where the parties agree in writing. The Company's request that the reconciliation be a covenant rather than a condition is not reflected in the text.

## Conforming and administrative changes across several Parts

The phrase describing the requisite holders of the preferred stock is struck wherever it appeared and replaced with the defined term from the definitions block. The substitution occurs in several Parts and the comparison marks each occurrence; the register carries them as one conforming row so that the count of substantive changes is not inflated.

The comparison detected two typographical errors in the third draft and the fourth turn corrects both: a misspelling in the competitor carve-out sentence of the information rights Part, and a misspelling of the word describing the piggyback registration right. Neither correction changes the meaning of the sentence it appears in.

The definitions block itself is marked only by the reordering of two definitions into alphabetical position, which the comparison shows as moved text. No definition is added or deleted in this turn, and the definitions the third draft annotated as depending on an open item remain annotated.

## Provisions the comparison shows as unchanged

The comparison shows no marking against the parties Part, the registration rights Part other than the typographical correction, the right of first refusal and co-sale Part, the insurance sentence of the expenses Part, the confidentiality Part, or the process Part. A reviewer working from the change bars alone will therefore pass over those Parts, which is intended.

Because the third draft's open-items annex is a working record rather than part of the text, the fourth turn replaces it wholesale rather than marking it. The comparison excludes the annex, and the accompanying memorandum carries the updated status of each item that remains open after this turn.

## Status of the marked text, distribution and version control

No change shown in this comparison is agreed until it appears in a version executed by the Company and the lead purchaser. When an executed version exists, that version governs, and this comparison and the draft it was run against have no operative effect regardless of the detail either of them carries.

Comments on the fourth turn should be returned in comparison format against the fourth turn rather than against the third draft, so that the turns remain sequential. Counsel maintains the version register and will not accept a mark-up run against a superseded version except where the parties agree in advance.

The distribution of this comparison is limited to the parties named in the circulation note and their counsel. The change register that follows records every change the comparison detected, keyed to the Part and caption of the underlying sheet, with the party that raised each point.

**Change register for the fourth turn compared against the third circulated draft**

| Part | Caption | Change type | Prior formulation | Revised formulation | Raised by |
|---|---|---|---|---|---|
| Part 2 | Pricing | substitution | the pre-money valuation stated in the third draft | the pre-money valuation stated in the accompanying memorandum | lead investor |
| Part 2 | Aggregate investment | conforming change | the aggregate stated in the third draft | the aggregate stated in the accompanying memorandum | lead investor |
| Part 2 | Second tranche metric | substitution | recurring revenue excluding field service | recurring revenue as reported in the audited statements | investor counsel |
| Part 2 | Second tranche test date | substitution | the later of the dates discussed | the date stated in the accompanying memorandum | lead investor |
| Part 3 | Reserve percentage | substitution | the percentage proposed by the | the percentage stated in the accompanying | lead investor |

| Part | Caption | Change type | Prior formulation | Revised formulation | Raised by |
|---|---|---|---|---|---|
| | | | Company | memorandum | |
| Part 3 | Basis on which the reserve is sized | insertion | no express statement of the basis | sized on the capitalization at the initial closing | investor counsel |
| Part 3 | Reserve counting convention | insertion | silent on outstanding awards | only unissued reserved shares count toward the target | investor counsel |
| Part 3 | Warrant treatment | insertion | silent on the method | treatment stated with a supporting instrument schedule | Company |
| Part 4 | Dividend | substitution | simple and non-cumulative when declared | cumulative and compounding, added to the preference | investor counsel |
| Part 4 | Stub period convention | insertion | no convention stated | day count convention stated for a partial period | investor counsel |
| Part 5 | Participation | substitution | shall not participate after the preference | shall participate after the preference, subject to a cap | lead investor |
| Part 5 | Cap on participation | insertion | no cap, participation not applicable | aggregate recovery capped as stated in the memorandum | investor counsel |
| Part 5 | Insufficient assets | insertion | silent within a tranche | distributed rateably within the tranche in proportion to full amounts | Company |
| Part 6 | Anti-dilution | substitution | one formulation for the life of the series | the formulation designated for the series in the charter | investor counsel |
| Part 6 | Simultaneous events | insertion | silent on ordering | the charter ordering rule governs the sequence | investor counsel |
| Part 7 | Redemption | deletion | redemption at the election of the requisite holders | Part deleted and the caption reserved | Company |
| Part 7 | Redemption | reinstatement | Part deleted and the caption reserved | redemption reinstated in the narrowed form | investor counsel |
| Part 8 | Protective provision - affiliate transactions | narrowing | any transaction with an affiliate | any transaction with an affiliate above a stated threshold | Company |
| Part 8 | Protective provision - subsidiary formation | deletion | formation of any subsidiary | provision struck in its entirety | Company |
| Part 8 | Protective provision - capital expenditure | deletion | capital expenditure above a stated amount | provision struck in its entirety | Company |
| Part 8 | Basis of the protective vote | substitution | vote of the preferred stock as a whole | vote of the series voting as a separate class | investor counsel |
| Part 10 | Drag-along trigger | substitution | board, preferred and common approval | board approval and the approval identified in the voting agreement | investor counsel |
| Part 13 | Notice of subsequent issuance | insertion | no express notice obligation | the Company shall give notice of each subsequent issuance | investor counsel |
| Part 15 | Re-vesting credit for prior service | deletion | with credit for service already performed | credit for prior service struck | investor counsel |
| Part 15 | Acceleration | substitution | single trigger on a change of control | double trigger requiring a qualifying termination | investor counsel |
| Part 15 | Restrictive covenant | narrowing | non-competition undertaking | non-solicitation of employees and customers | Company |
| Part 16 | Expense cap | deletion | capped at the amount stated in the third draft | cap struck, arrangement uncapped | investor counsel |
| Part 16 | Break arrangement trigger | substitution | payable on any termination by the Company | payable where the Company accepts a competing proposal | Company |
| Part 17 | Exclusivity period | insertion | left blank pending agreement | the period stated in the accompanying | lead investor |

| Part | Caption | Change type | Prior formulation | Revised formulation | Raised by |
|---|---|---|---|---|---|
| | | | | memorandum | |
| Part 18 | Conditions | conforming change | class consent described generally | consent of the holders of Series A Preferred identified expressly | investor counsel |
| Part 18 | Capitalization reconciliation | narrowing | condition to the closing | condition, with an agreed exception procedure | Company |
| Various | Defined term Requisite Holders | conforming change | the requisite holders of the preferred stock | the Requisite Holders as defined in the definitions block | investor counsel |
| Part 11 | Competitor carve-out | typographical | witholding of monthly accounts | withholding of monthly accounts | investor counsel |
| Part 12 | Registration rights | typographical | peggyback registration | piggyback registration | investor counsel |

## Front matter - marked changes to the header and the status language

The header block of the third draft, which identified the document as a draft circulated for discussion purposes only, is struck and replaced with a header block carrying an execution-ready form: a title without the draft designation, a date line left open, and a statement of the Parts the parties intend to be binding on signature. The change is the most visible in the turn and the comparison shows the whole of the former block struck through.

The sentence in the third draft stating that nothing in it was intended to create an obligation of any kind is struck. Inserted in its place are words providing that the confidentiality, exclusivity and expense Parts are intended to be binding on execution and that the remainder states agreed commercial terms to be implemented through the definitive documents.

A signature block and an expiration line are inserted at the end of the document, both shown underlined in full. Counsel has noted in the change register that the insertion of a signature block does not convert the fourth turn into an executed instrument and that the turn remains a draft until it is signed.

The paragraph in the third draft explaining that drafting notes appear in the body rather than in the margin is struck, and every drafting note the third draft carried is struck with it. A reviewer comparing paragraph counts between the two versions will therefore find the fourth turn shorter in places where no substantive term has been removed.

## Parts 11 and 12 - the corrections and the requests not taken up

In Part 11 the only marking is the correction of a misspelling in the sentence describing the competitor carve-out. The Company's request that the share threshold governing information rights be raised is not reflected in the fourth turn; the request was recorded in the third draft's open-items annex rather than in the text, so there is nothing for the comparison to strike.

In Part 12 the only marking is the correction of a misspelling in the description of the piggyback registration right. The point investor counsel flagged about shares a holder cannot include because it has declined to sign the underwriting agreement is not addressed in this turn, and counsel has confirmed it will be dealt with in the investors' rights agreement rather than here.

Both corrections appear in the administrative group of the change register. Counsel has asked that the Company confirm them without a substantive review so that the next turn does not carry them forward as open items.

## Parts inserted for the first time in the fourth turn

Two Parts appear in the fourth turn that had no counterpart in the third draft, and both are shown underlined in their entirety. The first sets out the definitive documents to be prepared, allocates the first draft of each between counsel to the purchasers and the Company, and states that a term expressed here by reference to a definitive document is to be implemented in that document consistently with this sheet.

The second inserted Part deals with expiration and the completeness of the agreed terms: it provides that the sheet lapses if it is not executed by the stated expiration date, and that a term not set out in it is not part of the agreed terms whether or not it appeared in an earlier circulated draft, in a comparison of drafts, or in correspondence between counsel.

Counsel has flagged the second inserted Part in the change register as substantive rather than administrative, because it changes the status of everything the earlier turns discussed but did not carry into the text. The Company has not commented on either insertion.

A third insertion is smaller: a sentence at the end of the conditions Part providing that the list in that Part is the authoritative list of conditions and that an item appearing only in a diligence tracker or an internal checklist is not a condition. The sentence is shown underlined and is attributed in the register to counsel to the purchasers.

## Renumbering and the effect on cross-references

The Parts inserted in the fourth turn are placed at the end of the document rather than in subject order, which counsel adopted specifically so that the numbering of the Parts carried forward from the third draft is unchanged. Every cross-reference in the third draft therefore continues to point at the same Part in the fourth turn, and the comparison shows no marking against any cross-reference.

The one exception is the deleted Part whose caption is retained and marked reserved. A cross-reference in the protective provisions Part pointed at that Part, and the fourth turn strikes the cross-reference and inserts a reference to the reinstated text. The comparison shows the strike and the insertion in the same sentence.

Counsel has recorded that if the parties decide to renumber in a later turn, the renumbering should be done in a clean version rather than in a comparison, because a comparison that carries a renumbering marks every subsequent cross-reference and becomes unreadable.

## Attribution of the marked changes and the history behind them

The change register attributes each marked change to the party that raised the underlying point rather than to the person who typed it, which is the convention the parties adopted after the second turn. A change counsel makes on its own initiative is attributed to the client it acts for, and a change made to implement an agreement reached on a call is attributed to the party that proposed it on that call.

Of the substantive changes in this turn, the purchasers raised the pricing substitutions, the dividend construction, the participation construction, the anti-dilution reference, the reinstatement of the redemption Part, the basis of the protective vote, the drag-along trigger, the notice obligation on subsequent issuances, the deletion of the re-vesting credit, the acceleration construction and the deletion of the expense cap.

The Company raised the deletion of the redemption Part, the deletion of two protective provisions, the narrowing of the affiliate transaction provision, the narrowing of the restrictive covenant, the narrowing of the break trigger and the exception procedure attached to the capitalization reconciliation condition. Counsel has noted that the balance of the turn is unusually even and that neither side should read the count as a concession.

## Quality control performed on this comparison

Counsel has verified that the comparison was run against the third circulated draft in the form distributed, that the file compared carries the same document identifier as the file distributed, and that no change was made to either file after the comparison was generated. The comparison settings suppress formatting-only differences from the underline markings but retain them in the margin change bars.

The change register was prepared by reading the comparison rather than by exporting it, so that a marking the comparison facility misclassified is recorded by its actual effect. Two markings the facility classified as insertions are recorded in the register as substitutions, because in each case adjacent words were struck in the same sentence.

Counsel has confirmed that no marked change in this comparison alters the measure of any holder's entitlement to participate in a subsequent issuance, and that the only change in that Part is the notice obligation described above. Any statement to the contrary in a summary prepared from this comparison should be checked against the marked text itself.